EXECUTIVE PERFORMANCE OVERVIEW

Revenue Leakage | Customer Segmentation | Strategic Actions | Analytical Methodology

REVENUE, PROFIT, MARGIN & GROWTH ANALYSIS

SELECT YEAR

2024

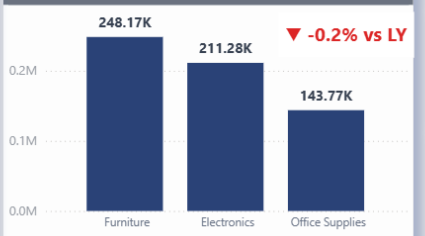
REGION

All

REVENUE TREND OVER TIME

- Revenue increased by **1.8% year-over-year**, indicating stable top-line growth. However, profit declined by **$0.2 vs last year**, suggesting early signs of margin pressure.
- Despite revenue expansion, profit contraction indicates cost or discount exposure impacting overall profitability.
- Revenue growth without corresponding profit growth signals a need to evaluate pricing strategy and discount structures.
- Focus should be placed on margin optimization, discount monitoring, and cost discipline to ensure revenue growth translates into sustainable profitability.

PROFIT BY PRODUCT CATEGORY



MARGIN EFFICIENCY

16.96%

RETURN RATE

9.98%

REVENUE

3,556,991.14

REVENUE LOST TO DISCOUNT

419,283.57

NET PROFIT

603,216.44

REVENUE LEAKAGE ANALYSIS

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SELECT YEAR

2024

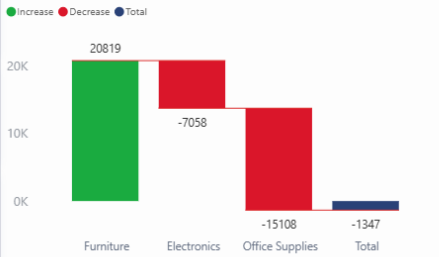
% OF REVENUE LOST TO DISCOUNT

11.79%

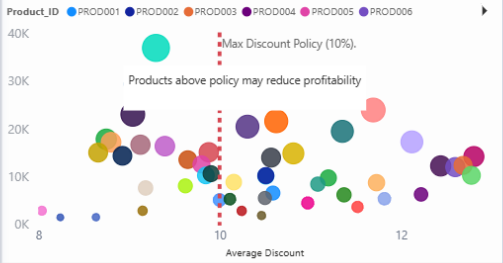
TOTAL REVENUE LOST TO DISCOUNT

351,551.60

PROFIT IMPACT AFTER DISCOUNT



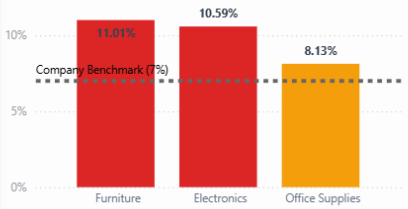
DISCOUNT VS PROFIT ANALYSIS



INSIGHTS

- 4 products exceed discount policy
- Furniture return rate is 4% above benchmark
- Electronics category shows high discount exposure with weak profitability, indicating margin leakage.
- Recommend discount cap enforcement + quality review

RETURN RATE BY CATEGORY



BOTTOM 10 LOWEST PROFIT PRODUCTS

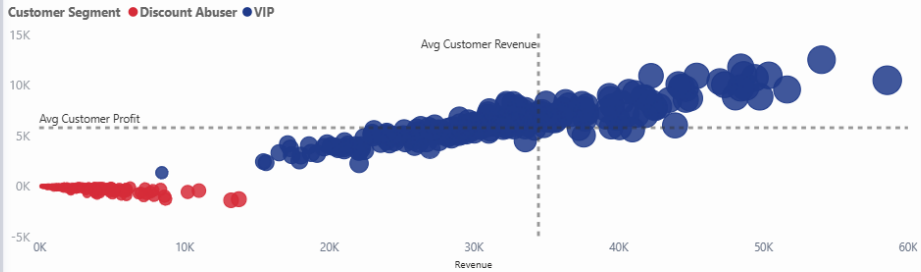
Product_ID	Revenue	Profit	Profit Margi...
PROD049	6,857.93	1,459.46	21.28%
PROD022	8,624.05	1,494.49	17.33%
PROD037	11,360.55	1,849.75	16.28%
PROD039	15,970.58	2,823.17	17.68%
PROD027	16,042.69	2,846.93	17.75%
PROD015	14,651.17	2,856.71	19.50%
PROD028	24,959.33	3,651.48	14.63%
PROD025	29,796.64	4,476.31	15.02%
PROD012	32,902.77	5,099.17	15.50%

CUSTOMER PROFITABILITY SEGMENTATION

Executive Overview | Revenue Leakage | Strategic Actions | Analytical Methodology

Customer segmentation reveals high-revenue customers with weak profitability, indicating discount leakage. Upsell opportunities exist among low-revenue high-margin customers

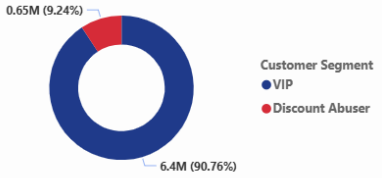
CUSTOMER PROFITABILITY SEGMENTATION



CUSTOMER TABLE

Customer_ID	Revenue	Profit	Profit Margin %	Customer Segment
CUST001	1,510.49	-209.68	-13.88%	Discount Abuser
CUST001	35,066.10	6,502.25	18.54%	VIP
CUST002	2,625.94	-282.34	-10.75%	Discount Abuser
CUST002	32,583.53	7,065.70	21.68%	VIP
CUST003	776.22	-37.06	-4.77%	Discount Abuser
CUST003	17,973.90	2,532.21	14.09%	VIP
CUST004	4,965.08	-321.49	-6.48%	Discount Abuser
CUST004	24,008.21	5,283.31	22.01%	VIP

REVENUE BY CUSTOMER SEGMENT



STRATEGIC RECOMMENDATION

Data-Driven Strategy Recommendations to Improve Profitability and Customer Value

Executive Overview | Revenue Leakage | Customer Segmentation | Analytical Methodology

📊 EXECUTIVE INSIGHTS

These insights summarize the most critical performance patterns discovered in the analysis.

- **High discount dependency:** A significant share of revenue is being generated through discounted sales, which is compressing overall profit margins.
- **Profit concentration risk:** A small group of customers contributes a disproportionate share of total profit, exposing the business to revenue volatility if these customers reduce purchases.
- **Loss-making product segments:** Several SKUs consistently generate negative profit despite strong sales volumes, largely due to high discounts and operational costs.
- **Customer profitability imbalance:** Some customers generate high revenue but deliver low or negative profitability

⚠ KEY BUSINESS RISKS

⚠ **Margin Compression:** Frequent discounting is reducing the effective margin per transaction.
⚠ **Unprofitable Customers:** A portion of customers are generating **negative profit**, suggesting misaligned pricing strategies.
⚠ **Inventory Inefficiency:** Low-performing products occupy inventory space without contributing to profit.
⚠ **Revenue Dependency:** Profitability is overly dependent on a small number of customers.

🎯 STRATEGIC ACTIONS

Optimize Discount Strategy
Introduce a controlled discount framework to protect profit margins.
- Cap standard discounts at 15%.
- Require approval for discounts above the approved threshold.
- Focus discounts on high-margin products rather than applying them broadly.

Improve Product Portfolio Efficiency
Review the profitability of all products to eliminate loss-making items.
- Identify the bottom 5–10% of products generating negative profit.
- Renegotiate supplier pricing where possible.
- Consider discontinuing or replacing consistently unprofitable products.

Implement Customer Value Segmentation

📈 EXPECTED BUSINESS IMPACT

If these recommendations are implemented, the business can expect:

- **Improved profit margins** through better discount control
- **Higher customer lifetime value** via targeted segmentation
- **Reduced operational losses** from underperforming products
- **More stable revenue streams** through diversified customer profitability

ANALYTICAL METHODLOGY

Executive Overview | Revenue Leakage | Customer Segmentation | Strategic Actions

DATASET OVERVIEW

This dashboard analyzes a retail sales dataset containing transactional information on product purchases, discounts, returns, and customer activity.

The dataset includes key attributes such as:

- Product ID
- Customer ID
- Sales quantity

KEY QUESTIONS ADDRESSED

This analysis focuses on answering critical business questions:

- Which product categories generate the highest revenue but lowest profit?
- How much revenue is lost through discounting strategies?
- Which products consistently generate negative profit?
- Which customers contribute the most to profitability?

ANALYTICAL METHODOLOGY

The analysis follows a structured business intelligence workflow.

Data Preparation: The dataset was cleaned and transformed within Power BI to ensure consistency in calculations and aggregations.

Metric Engineering: Custom DAX measures were developed to calculate revenue, profit, profit margins, and return rates.

Exploratory Analysis: Interactive visuals were used to detect patterns across products, regions,

DATA MODEL STRUCTURE

The dashboard is built using a structured analytical model.

Key calculated metrics include:

Revenue: Calculated from quantity, unit price, and discount applied.

Profit: Derived by subtracting product cost from net revenue.